Amorepacific (090430 KS)

Dermocosmetics and Europe broaden growth base

Seung-eun Lee
Cosmetics/Medical Device/Retail
seungeun.lee@yuantakorea.com

BUY (M)

Target price	W178,000 (M)
Previous target price	W178,000
Current price (Oct 30)	W129,100
Upside potential	38%

Market cap (Wbn)	7,551
Shares outstanding	69,050,589
Avg daily T/O (2M, Wbn)	32
Avg daily volume (2M, shrs)	232,171
52-week high/low (won)	165,100 / 96,200
Foreign ownership (%)	26.20%
Dividend yield (%)	1.04%
Major shareholders	AmoreG & others

Stock performance

(%)	1M	3M	12M
Absolute	(6.7)	(3.7)	6.1
Relative	11.3	(6.0)	(24.3)
Abs (US$)	(5.4)	3.8	13.4

3Q26 review: sales and profitability improve, but forex translation losses weigh on net profit

Amorepacific reported 3Q26 sales of W1,129.5bn (+11% YoY) and OP of W115.2bn (+25% YoY), with OP in line with market consensus of W116.4bn. Domestic sales rose by 11.5% YoY to W620.5bn, with growth across all channels except standalone stores. In particular, duty-free and cross-border sales grew 17% on stronger inbound tourist demand, driving substantial operating leverage. Domestic OP came to W84.6bn (+42% YoY; OPM 13.6%). Overseas sales rose 12.4% YoY to W495.5bn. In the Americas (+16.9%), Aestura, Innisfree, and COSRX drove growth despite weakness at Laneige. Other Asia (+19.6%) continued to deliver strong growth, led by Japan, India, and Indonesia. Gross margin expanded by 0.9%p YoY on reduced discounting and a better brand mix. Despite a 12% increase in advertising and promotion expenses from digital marketing investment, SG&A-to-sales ratio improved through efficiencies in other expenses. However, forex translation losses stemming from won appreciation during the quarter resulted in a non-operating loss of W44.2bn, reducing net profit to W58.5bn (-14% YoY).

Dermocosmetics and Europe to drive next phase of growth

We maintain BUY and our target price of W178,000. The company guided for 4Q26 consolidated sales growth of 10% YoY and OPM of 10%. A lower average exchange rate in 4Q26 poses a headwind to overseas sales growth in won terms. Nevertheless, positives include the continued improvement in profitability in high-margin domestic channels thanks to an increased in inbound tourists, strong performance of dermocosmetics brands during Amazon's Prime Big Deal Days in October, and an expected turnaround in the China business in 4Q26. European channel expansion is also taking shape, including Sulwhasoo's launch at Harrods in the UK, the entry of Laneige, Innisfree, and Aestura onto Amazon UK, and plans to enter major physical retailers next year. These initiatives are diversifying growth beyond a limited number of brands and channels. With dermocosmetics rising to a mid-20% share of total revenue and reliance on Laneige in North America declining, we see improving visibility on achieving the company's BY27 (Jul 1, 2026–Jun 30, 2027) targets of 10% sales growth and an OPM of 11-12%.

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,885	4,253	4,734	5,190
OP	220	336	484	557
Net profit, CI	593	236	314	407
P/E (x)	13.8	32.3	25.1	19.2
P/B (x)	1.8	1.6	1.6	1.5
EV/EBITDA (x)	17.1	11.5	9.7	8.6
ROE (%)	11.7	4.4	5.6	6.9

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Amorepacific: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26P	4Q26E	2026E
Sales	1,067.5	1,005.0	1,016.9	1,163.4	4,252.8	1,135.8	1,175.9	1,129.5	1,293.0	4,734.2
Korea	577.3	553.6	556.6	587.6	2,275.2	626.4	610.8	620.5	640.0	2,497.7
Overseas & export	469.6	432.4	440.8	566.2	1,909.1	497.1	551.6	495.5	638.0	2,182.2
North America	157.2	134.4	156.8	182.6	631.0	174.7	210.4	183.2	230.0	798.3
EMEA	55.3	44.1	52.7	88.9	241.0	64.4	72.0	57.9	100.0	294.3
China	132.8	132.7	106.0	141.0	512.4	114.9	124.5	104.4	133.0	476.8
Other Asia	124.4	121.3	125.4	153.7	524.7	143.1	144.7	149.9	175.0	612.7
Sales growth (% YoY)	17	11	4	7	9	6	17	11	11	11
Korea	2	8	4	7	5	9	10	11	9	10
Overseas & export	40	13	3	8	15	6	28	12	13	14
North America	79	10	7	8	20	11	57	17	26	27
EMEA	220	18	-3	45	42	16	63	10	12	22
China	-10	23	9	-10	0	-13	-6	-2	-6	-7
Other Asia	53	6	-3	10	14	15	19	20	14	17
OP	117.7	73.7	91.9	52.5	335.8	126.7	117.3	115.2	125.0	484.2
Korea	49.4	40.2	59.4	49.5	198.5	81.5	59.6	84.6	75.0	300.7
Overseas & export	69.6	36.0	42.7	61.7	210.0	56.7	71.8	48.5	68.0	245.0
OPM	11	7.3	9	4.5	7.9	11.2	10	10.2	9.7	10.2
Korea	8.6	7.3	10.7	8.4	8.7	13	9.8	13.6	11.7	12
Overseas & export	14.8	8.3	9.7	10.9	11.0	11.4	13.0	9.8	10.7	11.2

Source: company data, Yuanta Securities

Amorepacific: earnings estimate revision (Wbn)

	Old			New			Difference		
	4Q26E	2026E	2027E	4Q26E	2026E	2027E	4Q26E	2026E	2027E
Sales	1,282.0	4,738.7	5,150.0	1,293.0	4,734.2	5,190.0	*0.9%*	*-0.1%*	*0.8%*
OP	129.0	496.0	557.0	125.0	484.2	557.0	*-3.1%*	*-2.4%*	*0.0%*
OPM (%)	*10.1%*	*10.5%*	*10.8%*	*9.7%*	*10.2%*	*10.7%*	*-0.4%p*	*-0.3%p*	*-0.1%p*

Source: Yuanta Securities

Amorepacific (090430 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,885**	**4,253**	**4,734**	**5,190**	**5,490**
Cost of sales	1,138	1,177	1,255	1,360	1,430
Gross profit	2,747	3,076	3,479	3,830	4,060
SG&A	2,526	2,740	2,995	3,273	3,456
Operating profit	**220**	**336**	**484**	**557**	**604**
EBITDA	478	604	752	825	872
Non-operating profit	400	8	-51	3	16
Forex gains	27	-4	-55	-24	-11
Net interest income	-16	-9	-1	5	11
Equity-method gains	16	-1	3	0	0
Other	373	22	3	22	16
Net prof before income tax	621	344	434	560	620
Income tax	19	97	99	130	150
Net profit from continuing ops	602	247	335	430	470
Net profit from discontinued ops	0	0	0	0	0
Net profit	602	247	335	430	470
NP for controlling interest	**593**	**236**	**314**	**407**	**445**
Total comprehensive income	600	269	357	452	492
Total comprehensive income, CI	593	257	341	432	470

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,735**	**2,004**	**2,020**	**2,212**	**2,317**
Cash & cash equivalents	452	525	428	513	541
Accounts receivables & other	418	390	434	475	503
Inventory	498	480	534	586	620
Non-current assets	5,049	4,957	4,880	4,811	4,740
Tangible assets	2,296	2,225	2,076	1,946	1,825
Investment in affiliates	6	6	6	7	7
Other investment assets	68	60	132	192	242
Total assets	**6,784**	**6,961**	**6,900**	**7,023**	**7,057**
Current liabilities	1,096	1,121	746	576	376
Accounts payable & other	530	610	420	380	350
ST financial liabilities	306	256	156	56	6
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	362	337	379	306	134
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**1,457**	**1,458**	**1,126**	**882**	**510**
Equity, controlling interest	5,252	5,449	5,700	6,043	6,424
Paid-in capital	35	35	35	35	35
Capital surplus	623	633	633	633	633
Retained earnings	4,601	4,775	5,003	5,325	5,684
Equity, non-controlling interest	74	54	75	98	123
Total equity	**5,326**	**5,503**	**5,775**	**6,141**	**6,547**
Net debt	**-335**	**-745**	**-758**	**-967**	**-1,088**
Total debt	440	350	251	136	56

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**335**	**584**	**607**	**688**	**746**
Net profit	602	247	335	430	470
Depreciation & amortization	257	268	268	268	268
Forex gains	-14	-2	55	24	11
Affiliate investment gains	0	0	-3	0	0
Increase in net working cap	-164	13	-130	-115	-84
Other	-346	58	81	81	81
Investing cash flow	**-312**	**-295**	**-197**	**-204**	**-206**
Investment	265	-204	-72	-61	-50
Increase in tangible assets	-81	-65	-120	-140	-150
Decrease in tangible assets	1	1	1	2	3
Other	-497	-28	-6	-5	-9
Financing cash flow	**-99**	**-222**	**-239**	**-255**	**-220**
ST financial liabilities	68	-63	-108	-110	-70
Debenture/LT financial liabilities	22	-27	10	-5	-10
Equity	-171	10	0	0	0
Cash dividend	-63	-92	-86	-86	-86
Other cash flow	45	-50	-55	-55	-55
Consolidation adj and other	22	7	-267	-143	-291
Increase in cash & equivalents	**-55**	**73**	**-96**	**85**	**28**
Beginning cash & equivalents	506	452	525	428	513
Ending cash & equivalents	452	525	428	513	541
NOPLAT	220	336	**484**	**557**	**604**
FCF	**254**	**519**	**487**	**548**	**596**

Valuation

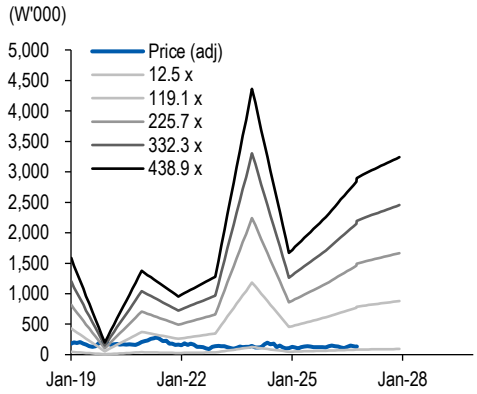
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	9,937	3,805	5,143	6,733	7,383
BPS (won)	76,149	78,989	82,649	87,626	93,154
EBITDA/shr (won)	6,921	8,746	10,896	11,949	12,629
SPS (won)	56,265	61,590	68,561	75,162	79,507
DPS (won)	1,125	1,240	1,240	1,240	1,240
P/E (x)	**13.8**	**32.3**	**25.1**	**19.2**	**17.5**
P/B (x)	**1.8**	**1.6**	**1.6**	**1.5**	**1.4**
EV/EBITDA (x)	**17.1**	**11.5**	**9.7**	**8.6**	**8.0**
P/S (x)	**2.4**	**2.0**	**1.9**	**1.7**	**1.6**

Key financial data

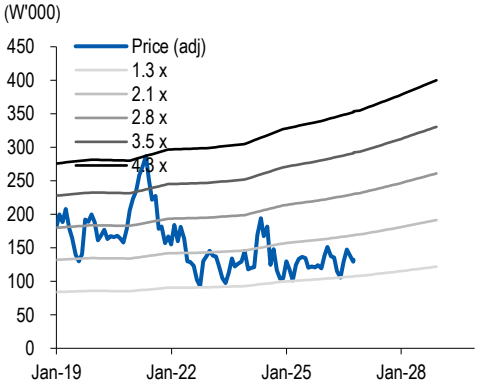
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**5.7**	**9.5**	**11.3**	**9.6**	**5.8**
Operating profit (%YoY)	**103.8**	**52.3**	**44.2**	**15.0**	**8.4**
Net profit, CI (%YoY)	**229.4**	**-60.3**	**33.2**	**29.6**	**9.3**
Gross margin (%)	70.7	72.3	73.5	73.8	74.0
Operating margin (%)	**5.7**	**7.9**	**10.2**	**10.7**	**11.0**
Net margin, CI (%)	15.3	5.5	6.6	7.8	8.1
EBITDA margin (%)	12.3	14.2	15.9	15.9	15.9
ROIC (%)	5.8	5.8	9.7	8.3	7.1
ROA (%)	9.4	3.4	4.5	5.8	6.3
ROE (%)	**11.7**	**4.4**	**5.6**	**6.9**	**7.1**
Debt-to-equity (%)	27.4	26.5	19.5	14.4	7.8
Net debt-to-equity (%)	-6.4	-13.7	-13.3	-16.0	-16.9
OP/financing cost (x)	7.8	15.0	28.3	50.6	110.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

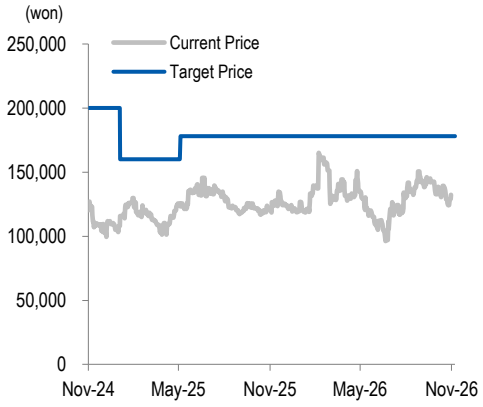
P/E band chart



P/B band chart



Amorepacific (090430 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	178,000	1 yr		
2026/05/07	After 1yr		1 yr	-28.67	-15.39
2025/05/07	BUY	178,000	1 yr	-27.04	-7.25
2025/01/06	BUY	160,000	1 yr	-27.75	-18.94
2024/05/07	BUY	200,000	1 yr	-29.48	-2.90

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

Global disclosures & disclaimers

This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only. It is copyrighted material and may not be reproduced, transmitted, quoted, or distributed in any manner without the prior written consent of Yuanta Securities Korea Co., Ltd.

As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not own 1% or more of the subject company's shares outstanding. As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not have any special interests in the subject company.

The material contained herein was not disclosed by Yuanta Securities Korea Co., Ltd. to any institutional investors or third parties prior to its publication. The analyst (s) of this report or the analyst (s)' spouse does not have any financial interest in the securities of the subject company (ies) mentioned herein, nor financial interest of any nature related to the subject company (ies) (including without limitation, whether it consists of any option, right, warrant, future, long or short position), as of the publication date of this report.

NOTICE TO US INVESTORS: This research report is the product of Yuanta Securities Korea Co., Ltd., which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (US) and are not associated person(s) of any US regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a US broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with US rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account.

Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the US Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major US Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any US person which is not a Major US Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major US Institutional Investors, Yuanta Securities Korea Co., Ltd. has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: BancTrust Securities USA. Transactions in securities discussed in this research report should be affected through BancTrust Securities USA.

Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)